

the regular 60/40 portfolio is, in fact, mostly an equity portfolio, since stock market variation explains most of the variation in performance of the 60/40 portfolio.

The MSCI US index with the addition of absolute momentum has a 0.74 correlation to the S&P 500, which is lower than the 0.92 correlation of the 60/40 index to the S&P 500. MSCI US with absolute momentum does a better job than the 60/40 portfolio in reducing portfolio drawdown, while also providing higher returns. The correlation to the S&P 500 of the 60/40 portfolio using 12-month absolute momentum drops to 0.67 from 0.92.³ The 60/40 portfolio with absolute momentum retains the same return as the normal MSCI US Index, but with only half the volatility. The maximum drawdown drops by more than 70%.

Figure B.13 shows the maximum 1, 3, 6, and 12-month drawdown of the MSCI US index and the 60/40 portfolios, with and without 12-month absolute momentum. Figure B.14 is a rolling five-year window of the maximum drawdown of the same portfolios.

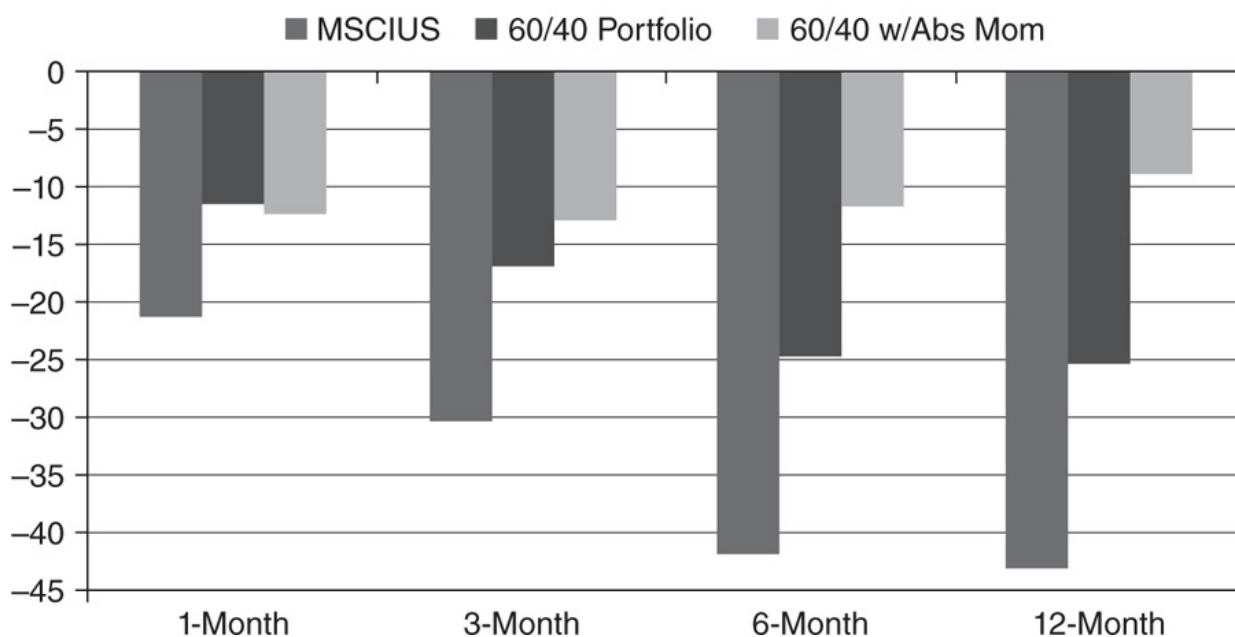


Figure B.13 One to Twelve-Month Maximum Drawdown, 1974–2012